



Indicators



Alert

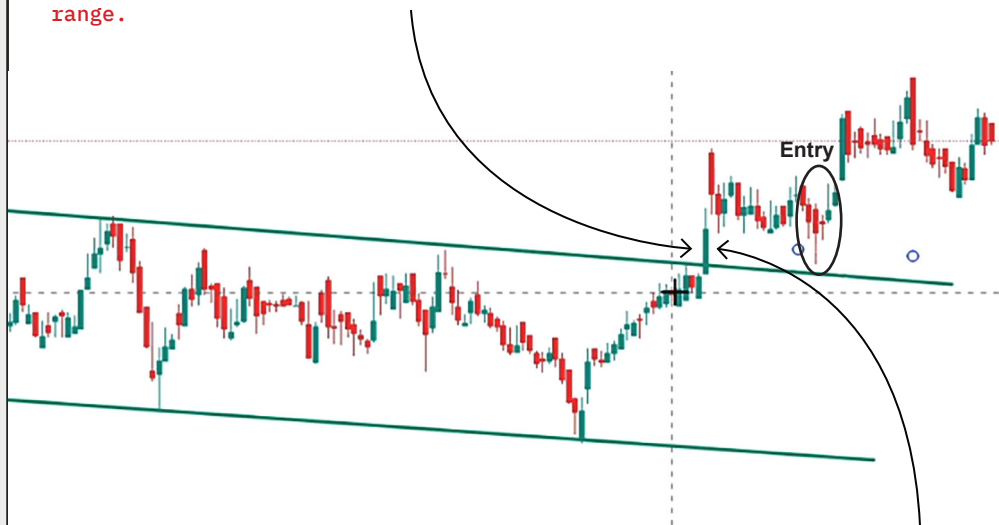


Replay



This is why it is **recommended to use this setup on an hourly, 4-hourly or a daily chart.** Let us look at some examples now.

As you can see in the chart, the price has broken above a range and has come back to its previous resistance level. Notice how the candle leaves a huge wick as it takes support from the resistance line of the range.



The entry will be at the candle touching the previous pattern's resistance line. This is because the price has given a breakout from the range and is coming back and testing the pattern. This is an ideal Pullback setup.

You should set up your stoploss limit order just below the long wick candle (Highlighted Part). Setups like this are for 1:3 or 1:4 risk to reward ratio.

